Go2plug

HANDBOOK

CANDLESTICKS CHART PATTERNS in TRADING

FOR BEGINNERS



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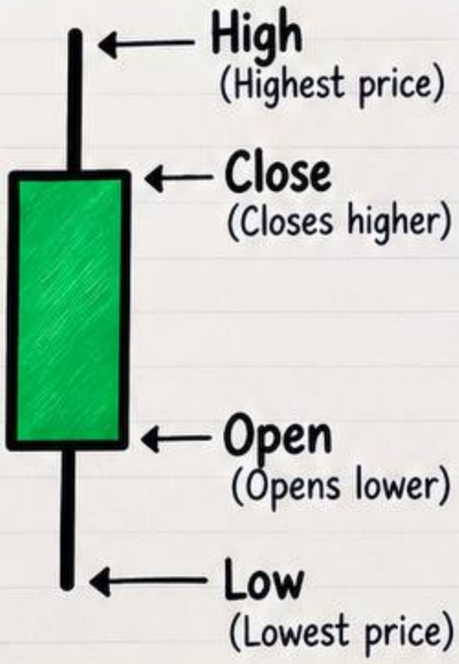
FOREX & STOCK CHART PATTERNS

1. CANDLESTICKS BASICS

What is a Candlestick?

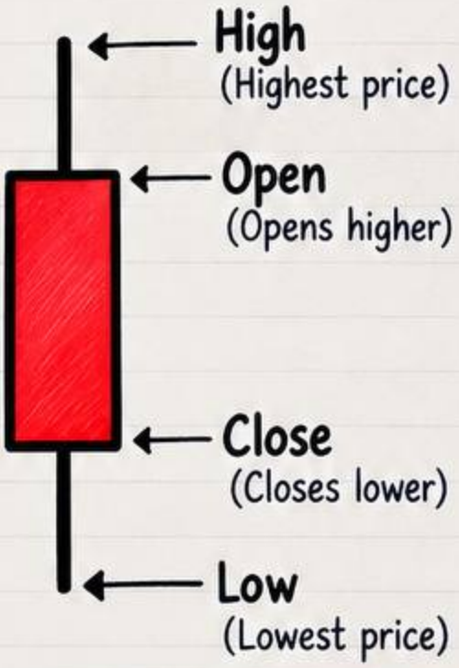
A candlestick shows the price movement of an asset within a specific time period. It tells you the **Open, High, Low** and **Close** prices.

BULLISH CANDLE



- Close > Open
- Price went UP
- Shows buyers in control

BEARISH CANDLE



- Close < Open
- Price went DOWN
- Shows sellers in control

2. COMMON CANDLESTICK PATTERNS

1



Doji

Indecision

2



Hammer

Bullish Reversal

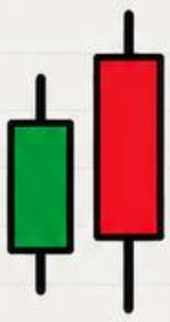
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Shooting Star

Bearish Reversal

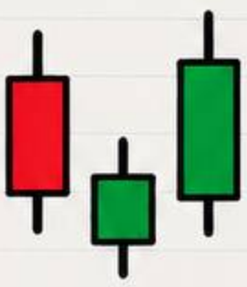
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Engulfing

Trend Reversal

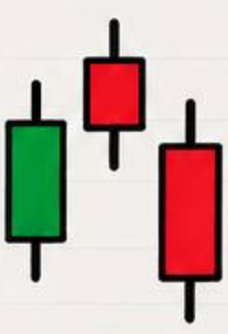
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Morning Star

Bullish Reversal

6



Evening Star

Bearish Reversal

7



Three Soldiers

Strong Bullish

8



Three Crows

Strong Bearish

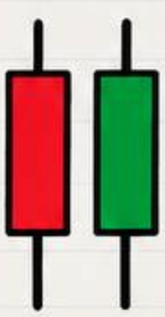
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Tweezer Top

Possible Reversal

10



Tweezer Bottom

Possible Reversal

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3. SUPPORT & RESISTANCE

What are Support & Resistance?

Support and resistance are key price levels where the price usually reacts. **Support** is where **buyers are strong** and stop the price from going lower. **Resistance** is where **sellers are strong** and stop the price from going higher.

SUPPORT



- Support is a price level where the price **struggles to go lower.**
- **Buyers** are stronger here.
- The price often **bounces up** from this level.

RESISTANCE



- Resistance is a price level where the price **struggles to go higher.**
- **Sellers** are stronger here.
- The price often **falls down** from this level.

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4. TREND DIRECTION

UPTREND



- Higher Highs
- Higher Lows
- Shows a strong bullish trend (price going up)
- Look for Buy opportunities

DOWNTREND



- Lower Highs
- Lower Lows
- Shows a strong bearish trend (price going down)
- Look for Sell opportunities

SIDEWAYS



- No clear trend
- Price moves in a range
- Buy at support and sell at resistance
- Wait for a breakout for the next direction

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5. CHART PATTERNS (CONTINUATION)

ASCENDING TRIANGLE



- Bullish Continuation
- Shows buyers getting stronger
- Breakout to the upside
- Look for **Buy** opportunities

DESCENDING TRIANGLE



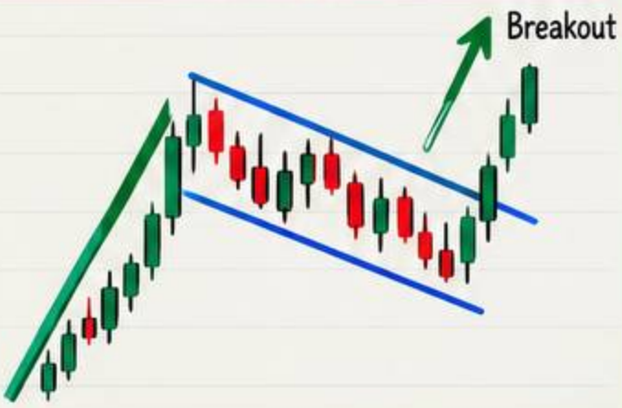
- Bearish Continuation
- Shows sellers getting stronger
- Breakout to the downside
- Look for **Sell** opportunities

SYMMETRICAL TRIANGLE



- Continuation Pattern
- Shows indecision (buyers and sellers balanced)
- Breakout in the direction of the trend
- Wait for breakout then trade

FLAG



- Bullish Continuation
- A short pause after a strong uptrend
- Price moves sideways/down slightly
- Breakout to the upside
- Look for **Buy** opportunities

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6. CHART PATTERNS (REVERSAL)

Head & Shoulders



- Bearish Reversal
- After an uptrend
- Breaks below the neckline

Inverse Head & Shoulders



- Bullish Reversal
- After a downtrend
- Breaks above the neckline

Double Top



- Bearish Reversal
- Resistance area
- Breaks below the neckline

Double Bottom



- Bullish Reversal
- Support area
- Breaks above the neckline

Knowledge Builds Confidence.
Practice Builds Results.

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